Atlanticus

Atlanticus Holdings Corporation (NASDAQ: ATLC)

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Share price: $53
Target Price: $69
Implied Upside: 29%

Executive Summary

Undervalued company in a high growth market

Atlanticus

Recommendation

We recommend a **BUY** rating for Lemonade Insurance with a target price of **$69**, implying a **24%** upside

Theses Summary

I

Capital Gap – Atlanticus occupies an advantaged position in the consumer-credit space, serving the capital gap left behind by traditional banks.

II

Low Regulation – Atlanticus conducts operations without facing significant regulatory capital requirements, while still maintaining control over price and risk analytics

Business Overview

Atlanticus Holdings Corporation is a specialty finance and technology company focused on providing credit to underserved, non-prime consumers in the US. The firm operates through its Credit-as-a-Service platform, partnering with major retail and service merchants to offer point-of-sale financing, while also running a growing direct-to-consumer credit card business.

Stock Price Over the Past x Years, $

Company Overview

Sub-prime Credit-as-a-Service business based in the US

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Atlanticus Holdings

Atlanticus Holdings Corporation is a **specialty finance and technology company focused on providing credit to underserved, non-prime consumers in the US**. The firm operates through its Credit-as-a-Service platform, partnering with major retail and service merchants to offer point-of-sale financing, while also running a growing direct-to-consumer credit card business. With a data-driven underwriting model and an increasingly asset-light structure, Atlanticus is positioned to capture rising demand for alternative credit solutions as traditional lenders tighten standards.

Leadership

David G. Hanna
Executive Chairman
Previously served as Chief Executive Officer for Atlanticus since its founding in 1996 and on the boards of Piedmont Healthcare and Holy Spirit Preparatory School.

Jeffrey A. Howard
Chief Executive Officer & President
Served as Atlanticus' Chief Executive Officer since March 2021 and as Atlanticus' President since April 2014.

Business Model

Credit-as-a-Service	Direct-to-Consumer	Technology & Analytics
• Point-of-sale finance • Private-label credit	• General-purpose credit cards • Digital loan origination	• Machine learning underwriting • Real time decisioning

Industry Overview

An underserved market and strong tailwinds make non-prime finance a growth opportunity

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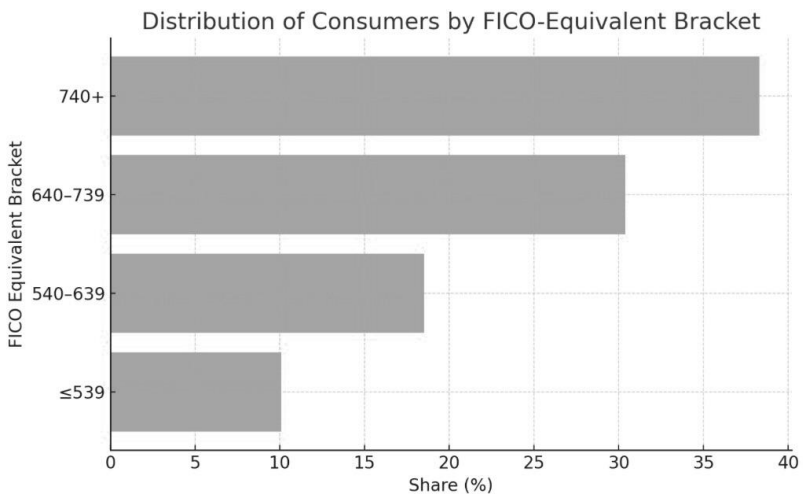
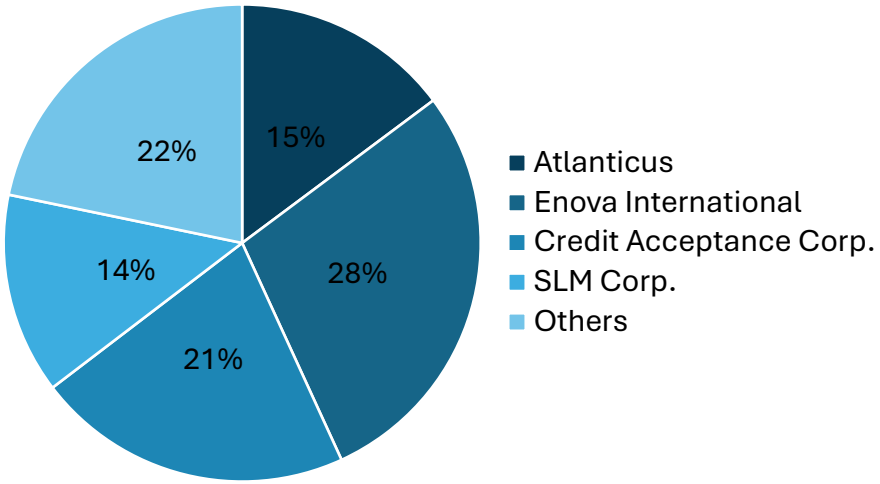
- U.S. consumer finance industry includes non-prime credit cards, instalment loans, and point-of-sale financing.
- Serves consumers with limited access to traditional credit; underserved market opportunity.

Consumer Segmentation by FICO Equivalent



Share of Market by Key Competitors



Favourable Macroeconomic & Industry Tailwinds

- Rising non-prime credit demand
- Shift to embedded finance
- Easing rate environment
- Increased digital adoption

Investment Theses

Atlanticus will continue to exploit the capital gap in the consumer-credit space

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The Capital Gap

- Atlanticus occupies an advantaged position in the consumer-credit space, serving the **capital gap** left behind by traditional banks and fintech lenders.
- The gap in question arises due to the **undersupply of near-prime and subprime borrowers**, where regulatory and risk constraints drive a wall in between these segments and large financial institutions

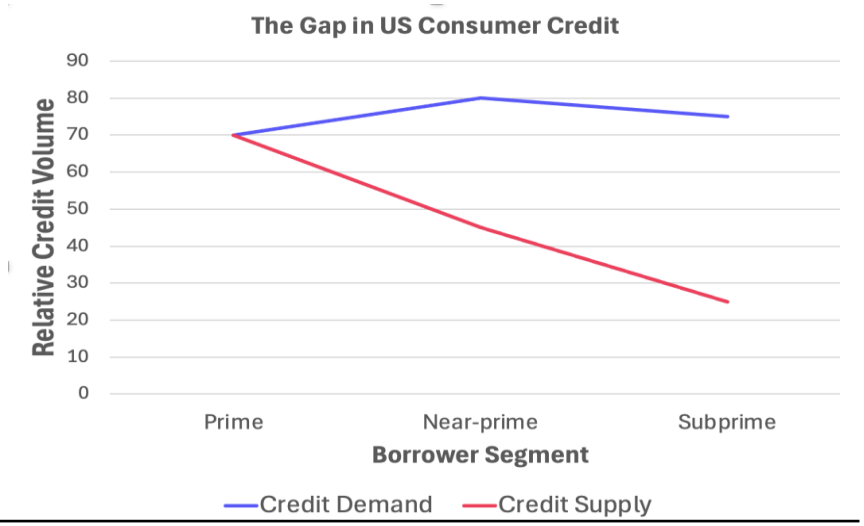
The Timing

- Market sentiment is still heavily focused on elevated charge-offs within subprime credit. If Atlanticus demonstrates continued improvement in its credit metrics, particularly through declining net charge-off ratios, this could act as a **clear catalyst for re-rating**, providing a measurable signpost for investors to monitor
- With interest rates remaining elevated, lenders with stronger underwriting discipline and superior analytics are better positioned to manage credit risk.

Business Advantages

- The nature of Atlanticus allows it to originate and service loans via partner banks and still retain economics by servicing and revenue sharing.
- This allows it to conduct its operations **without facing significant regulatory capital requirements**, while still maintaining control over price and risk analytics.
- Due to mainstream banks **retrenching away** from higher-risk credit avenues and fintech lenders not being able to garner cheap funding, Atlanticus presents a solution for this gap through its capital access and expertise.

US Credit Market



Valuation

Underpriced company in a high growth market

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Year	2022	2023	2024	2025E	2026E	2027E	2028E	2029E
Revenue	1,046,913	1,155,876	1,311,444	1,442,588	1,586,847	1,737,598	1,902,670	2,073,910
% Growth		*10.41%*	*13.46%*	*10.00%*	*10.00%*	*9.50%*	*9.50%*	*9.00%*
COGS	(81,851)	(109,342)	(160,173)	(141,813)	(155,995)	(170,814)	(187,042)	(203,875)
% Revenue	*7.82%*	*9.46%*	*12.21%*	*9.83%*	*9.83%*	*9.83%*	*9.83%*	*9.83%*
Gross Profit	*965,062*	*1,046,534*	*1,151,271*	*1,300,775*	*1,430,852*	*1,566,783*	*1,715,628*	*1,870,034*
Operating Costs	(81,579)	(917,976)	(1,012,694)	(1,129,821)	(1,242,803)	(1,360,869)	(1,490,151)	(1,624,265)
% Revenue	*7.79%*	*79.42%*	*77.22%*	*78.32%*	*78.32%*	*78.32%*	*78.32%*	*78.32%*
EBITDA	*883,483*	*128,558*	*138,577*	*170,954*	*188,050*	*205,914*	*225,476*	*245,769*
D&A	(2,175)	(2,560)	(2,715)	(3,060)	(3,365)	(3,685)	(4,035)	(4,398)
% Revenue	*0.21%*	*0.22%*	*0.21%*	*0.21%*	*0.21%*	*0.21%*	*0.21%*	*0.21%*
EBIT	*881,308*	*125,998*	*135,862*	*167,895*	*184,684*	*202,229*	*221,441*	*241,371*
Tax Rate	14.00%	15.20%	20.50%	20.50%	20.50%	20.50%	20.50%	20.50%
NOPAT	*757,925*	*106,846*	*108,010*	*133,476*	*146,824*	*160,772*	*176,046*	*191,890*
D&A	2,175	2,560	2,715	3,060	3,365	3,685	4,035	4,398
CapEx	(4,852)	(3,992)	(1,789)	(4,545)	(5,000)	(5,475)	(5,995)	(6,534)
% Revenue	*0.46%*	*0.35%*	*0.14%*	*0.32%*	*0.32%*	*0.32%*	*0.32%*	*0.32%*
Change in NWC	465,193	275,288	236,242	173,535	134,508	135,468	134,025	25,856
UFCF	**1,220,441**	**380,702**	**345,178**	**305,526**	**279,697**	**294,450**	**308,111**	**215,610**
WACC	**8.20%**							
Growth Rate	**2.50%**							
Projection Year				1	2	3	4	5
Discount Factor				0.92	0.85	0.79	0.73	0.67
PV of UFCF				**282,371**	**238,910**	**232,450**	**224,801**	**145,389**
TV								3,877,190
PV of TV								**2,614,453**

Implied Share Price	
Sum of PV of UFCF	1,123,922
PV of TV	2,614,453
EV	*3,738,374*
Cash	375,416
Debt	(2,505,188)
NCI	0
EqV	*1,608,602*
Diluted Shares Outstanding	23,332
Implied Share Price	*68.94*
Current Share Price	53.26
Implied Upside	*29.45%*

CCA

Company Name	Market Data			Financial Data			Valuation		
	Price ($)	Market Cap ($M)	TEV ($M)	Sales ($M)	EBITDA ($M)	EPS ($)	EV/Sales (x)	EV/EBITDA (x)	P/E (x)
World Acceptance Corp.	138.65	672.18	1340	570.82	190	10.45	2.348	7.05	13.27
Velocity Financial Inc.	18.38	717.32	6750	487.06	487.01	2.4	13.859	13.86	7.66
Ezcorp Inc.	17.68	1090	1350	1230	171.7	1.23	1.098	7.86	14.37
Lendingtree Inc	49.12	671.5	1050	1060	99.15	1.01	0.854	10.59	39.93
Nerdwallet Inc	13.98	1060	910.23	795	117	0.93	0.740	7.78	11.37
Upstart (UPST)	38.72	3700	4800	966.73	42	0.23	4.97	114.29	168.35
Enova (ENVA)	125.7	3120	6900	3040	657	10.89	2.27	10.50	11.54

Method	Input	Average Multiple	Implied EV
EV/Sales	1,311,444	3.73×	$4.89B
EV/EBITDA	138,577	24.56×	$3.40B

Share Price ($)	
Implied Share Price (Weighted to EV/EBITDA)	75.87
Implied Share Price (Weighted to EV/Sales)	97.3

Risks and Mitigants

Factors that may affect Atlanticus' profitability

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Credit Risk

Customers are primarily subprime or near-subprime, which carries a slightly higher risk of default.

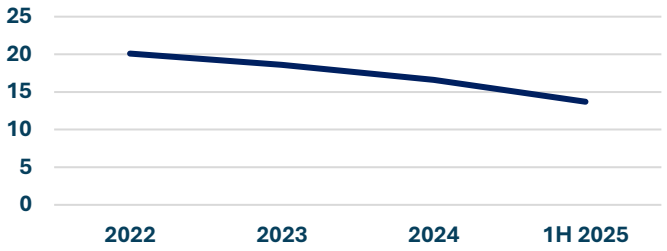
Mitigants

Improved underwriting.

Strong loss provisioning.

Diversified funding and partners.

Delinquency Rates (%)



Market & Competition Risk

Competes with banks, fintechs, and BNPL providers while relying on key partner relationships.

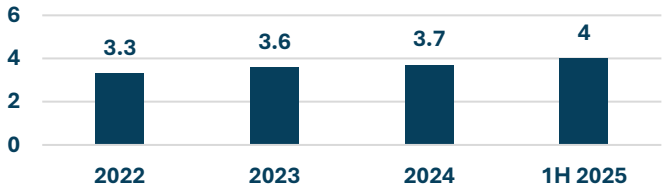
Mitigants

Targets subprime/near-prime borrowers.

Approves customers others decline via data models.

Leverages “second-look” and merchant channels.

Total Accounts Served (m)



Sources:Atlanticus, SeekingAlpha

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Questions?